

untapped markets.

Unlike Lemon Tree, which prefers greenfield projects, Baljee says his chain prefers brownfield projects that can be turned around quickly. Besides the pure management model, where the company runs the hotel for a management fee, Royal Orchid has franchisees and also a revenue-share model where a fixed percentage of the revenue is given to the owner of the hotel. "Then profit or loss is to our account. It's like a flexi-lease," explains Baljee.

Another sector that hotel chains are concentrating on is the pilgrimage circuit. "We have seen a lot of demand from the domestic traveller for pilgrimage centres. People who were earlier okay with not staying in hotels now want to stay in hotels," says S.P. Jain, Chairman and MD of Pride Hotels Group, which operates 51 hotels in 14 states. Pride is already present in Dwarka, Somnath and Ranakpur, and will soon be present in Rishikesh, Rudraprayag and Varanasi. "Occupancy in these hotels is around 75-80 per cent. On religious days, they are sold out," says Jain.

FIRST MOVERS

Of course, it's not as if there were no branded hotels in smaller cities and towns earlier. Sarovar Hotels & Resorts, for instance, considers itself a pioneer in venturing into locations beyond metros. "Tier II and III are not new to Sarovar," says Managing Director Ajay K. Bakaya. He adds that with the advent of the internet and social media, people in smaller towns have big aspirations. "So, there is enough demand to justify good branded hotels in these places."

To fulfil this demand, Bakaya has 50 hotels under different stages



RISING DEMAND The RS Sarovar Portico in Palampur, Himachal Pradesh. More and more travellers are looking for quality accommodation in smaller towns



"The minute I open a hotel in a small city, people there learn about Lemon Tree... the business that starts coming to my other hotels from that city is phenomenal"

VIKRAMJIT SINGH
PRESIDENT, LEMON TREE HOTELS

of development. "Over the next five years, I am looking at a net gain of 10 hotels a year, so around 750 rooms a year," he says. Sarovar, which currently manages over 95 hotels in 60 destinations in India and overseas, is a part of Paris-based Groupe du Louvre, which has a portfolio of 2,500 hotels in 52 countries. By the end of the year, Sarovar will have 15 new hotels in destinations such as Sonipat, Ayodhya, Dalhousie, Saharanpur and Aurangabad. It typically enters into a 15-year management contract and charges a management fee of 6.5 per cent of gross revenue.

International chains, too, have begun to target Tier II and III cities. Take Radisson, for instance.